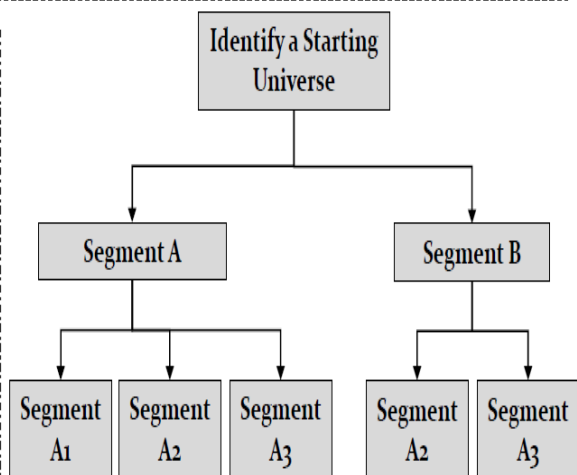


Guesstimates



Top down approach

- Start with an entire population (in other words, the top level) and then breaking it down until you arrive at an answer.

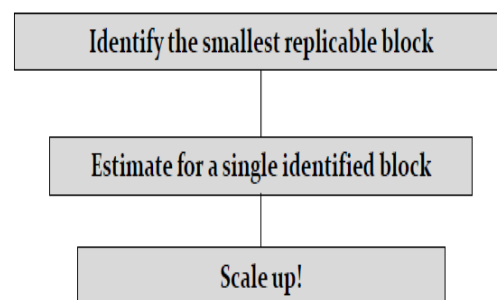


$$\text{Guesstimate} = A1 + A2 + B1 + B2 + B3$$

- Segments:
- Demographics (age, sex, income)
- Psychographics (attitudes, behaviors, values etc.)
- Geography (city/country, urban vs. rural etc.)
- And many more depending on the case!

Bottom up approach

- Start from the bottom—some low-level statistic, such as Revenue per store, which does not change across your universe and build your way up to the answer.



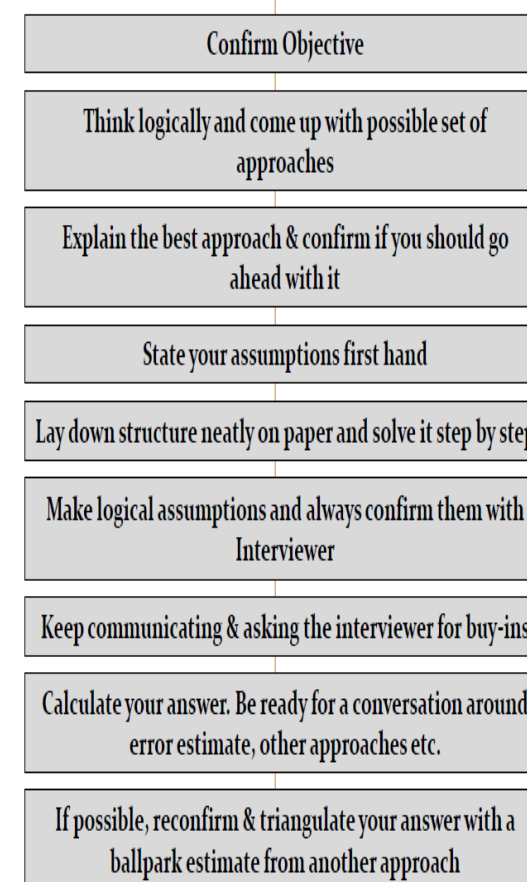
- Bottom up approach is much more subjective than top down approach.
- Especially replicable blocks depend on the case in hand, it can be one single store, one family to a single person. Be careful while picking your block and while scaling up.
- Bottom up approach though gives accurate results provided you scale up properly.

Do's



- Take about a minute to gather your thoughts and decide approach
- Use tree diagrams, normal diagrams, anything that explains your thoughts clearly in a visual way
- Relate your assumptions to facts, experiences and sellable logic
- Keep talking as you write, engage the interviewer

Ideal Flow



Don'ts



- Ask too many clarifying questions
- Questions about approach
- Start solving without discussing the approach
- Start with a population set every time
- Be text heavy on your sheet
- Unreadable writing
- Guessing the numbers
- Solving without explaining what you are doing

Useful Numbers

World		
Total Population	7,300,000,000	7.3 billion
Gender		
Male	50%	3.65 billion
Female	50%	3.65 billion
Continents		
Asia	60%	4.3 billion
Africa	15%	1.09 billion
Europe	10%	730 million
Latin America	10%	730 million
North America	5%	365 million
Age Groups		
0-5	10%	730 million
6-14	20%	1.46 billion
15-35	40%	2.9 billion
36-60	20%	1.46 billion
Above 60	10%	730 million
Income Group		
Poor	15%	1.09 billion
Low	55%	4 billion
Middle	15%	1.09 billion
Upper Middle	10%	730 million
High	5%	365 million

India		
Total Population	1,300,000,000	1.3 billion
Gender		
Male	50%	650 million
Female	50%	650 million
Rural Urban Divide		
Rural	70%	910 million
Urban	30%	390 million
Major Cities		
Delhi	1%	13 million
Mumbai	1%	13 million
Age Group		
0-14	30%	390 million
15-35	40%	520 million
35-60	25%	325 million
Above 60	5%	65 million
Marital Status		
Married/Others	50%	650 million
Never Married	50%	650 million
Income Group		
Poor	20%	260 million
Low	75%	975 million
Middle	3.50%	45 million
Upper Middle	1%	13 million
High	0.50%	6.5 million

Example

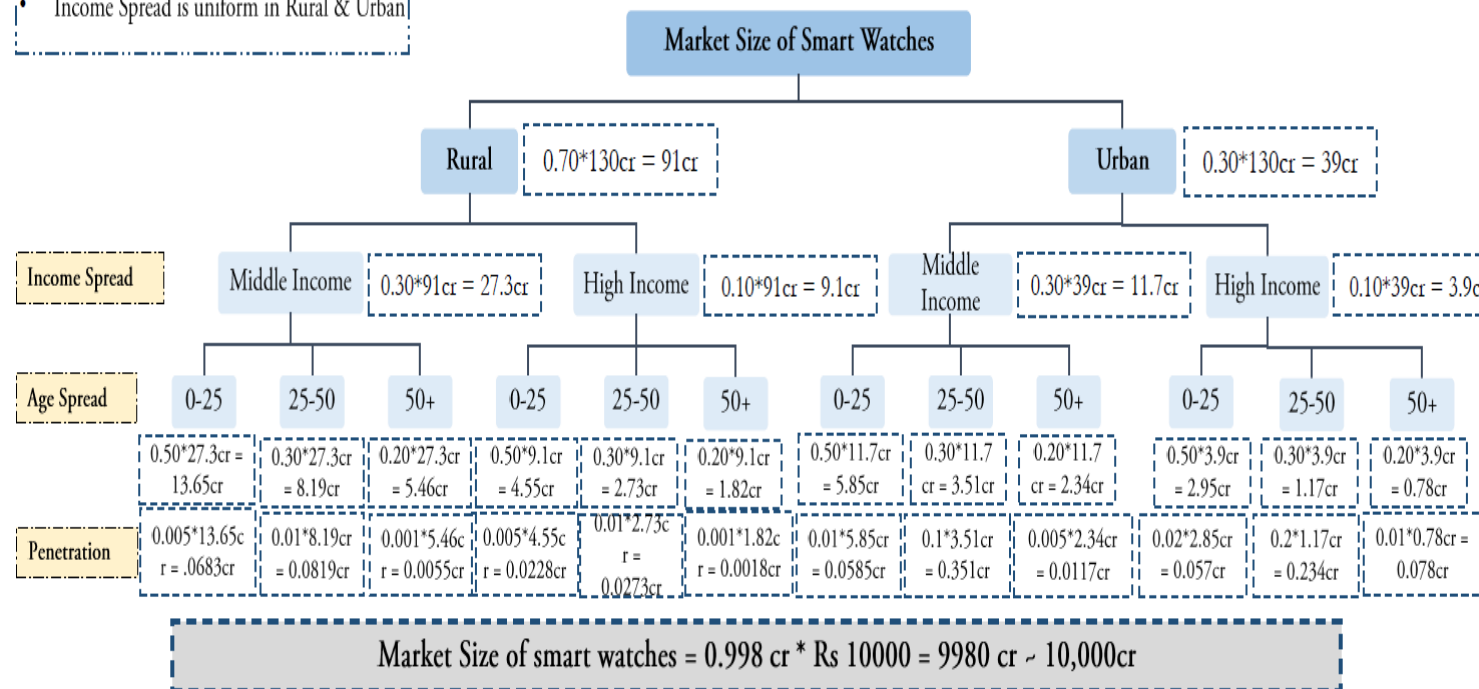
Estimate the market size of Smart Watches in India

Assumptions

- Average price of Smart Watch is Rs. 10k (considering watches range from 3k-30k)
- Penetration in rural area will be much lower than in urban area
- Market exists only in middle & high income groups
- Income Spread is uniform in Rural & Urban

Methodology

- Population of India = 130 Cr; Urban = 30%; Rural = 70%
- Age Group classification: 0-25 = 50%; 25-50 = 30%; 50+ = 20%
- Income Spread: BPL = 20%; Low Income = 40%; Middle Income = 30%; High Income = 10%
- In Urban India 1% of 0-25 will own one, 10% of 25-50 will own one and roughly 0.5% of 50+ will own one in the middle-income population while in the higher income population, the penetration would be roughly double. In Rural India, 0.5% will own one in age group 0-25, 1% will own one in 25-50 and 0.1% will own one in 50+



Understanding Case Interviews



Consulenza - Consulting Club
SDA Bocconi Asia Center

Do's



- Listen and Interact with Interviewer.
- Develop your own framework to structure the problem.
- Focus on high impact issues.
- Explore variety of options with creative thinking.
- Demonstrate Business Judgement.
- Make quick and accurate calculations.
- Make a good conclusion to your analysis.

①

Repeat the question and clarify the objectives

②

Think and understand what more you need to know

③

Set context to the case by asking questions. Be very careful about what you are asking and why.

④

Take time to think and lay down an structure for analysis

⑤

Involve interviewer in your analysis. Ask relevant question to process down your structure.

⑥

Make good and relevant suggestions which are specific to the case. Always have a rationale ready for Why?

⑦

Summarize the case properly. Be brief yet effective.

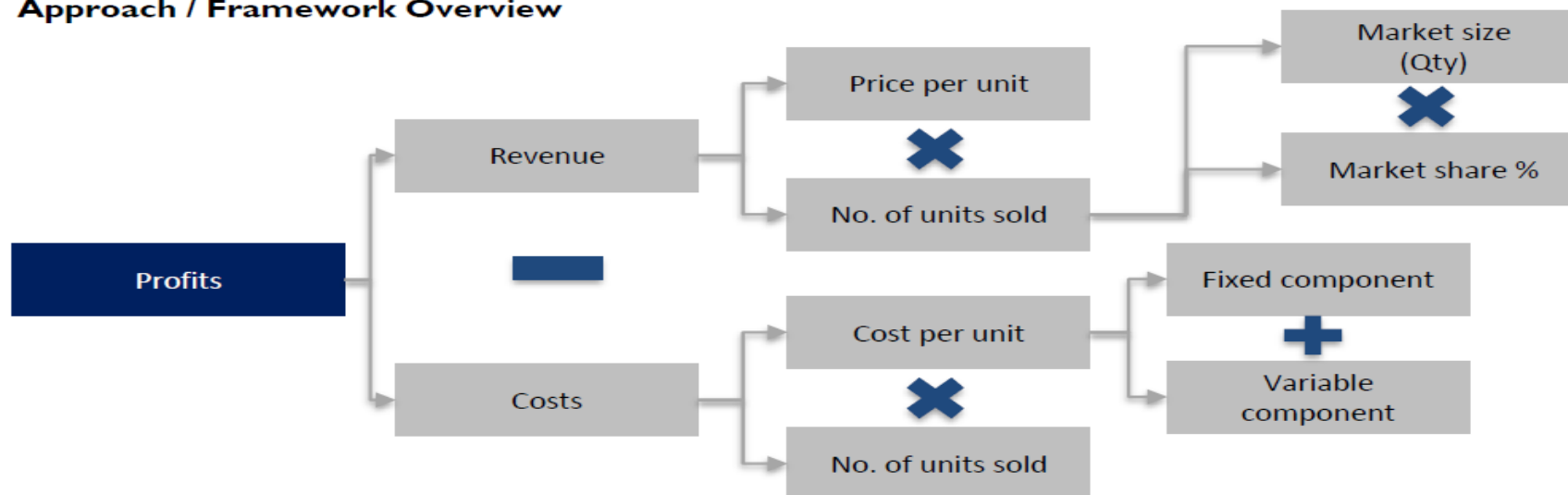


Don'ts

- Incorrect interpretation of case objectives.
- Jumping straight to conclusions.
- Not taking time to think, answering in hurry.
- Panicking if the answer is not apparent.
- Vehemently defending your analysis/suggestions.
- Internalizing the thought process.
- Sticking to artificial framework.

Profitability

Approach / Framework Overview



Framework Summary

A profitability problem requires proper scoping and isolation to be solved effectively. Starting from the basic $\text{Profits} = \text{Revenue} - \text{Costs}$ equation, each segment is to be drilled down to identify the 'problem areas'. Factors responsible could be internal or external

Tips

- Be cognizant about whether the issue being dealt with is 'profits' or 'profitability'. Profits are merely a difference of Revenues and Cost, while Profitability refers to profit as a proportion of sales (could be gross margin, operating margin or net margin)
- Use Value Chain Analysis to cover all costs

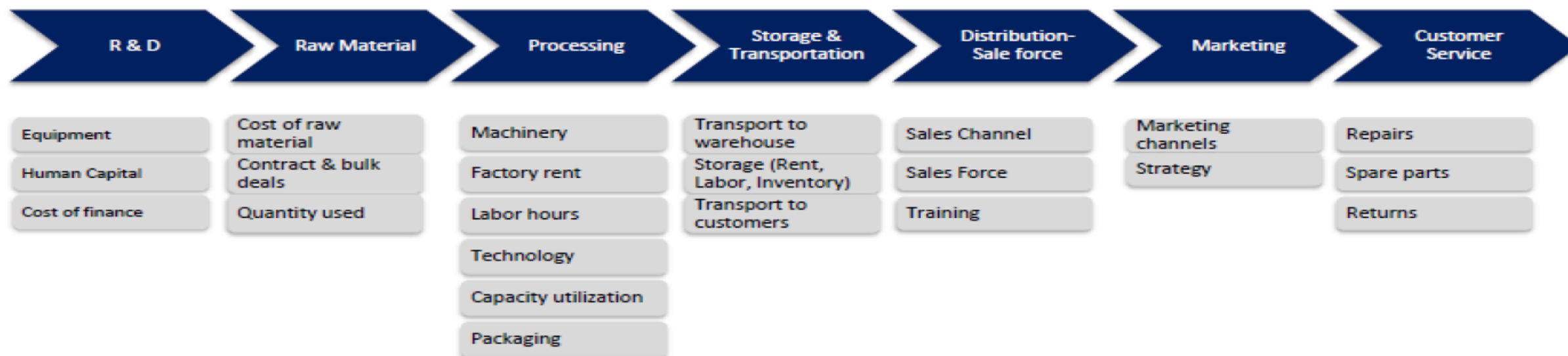
Key questions

- What is the quantum of profits / losses? How has the trend been like?
- Is it a company-specific phenomenon or is it being seen industry-wide?
- Is there a time period within which the issue is to be solved?
- How does the product-mix look like?
- Has there been any change in the competitive scenario?

Cost Reduction (Subset of Profitability)



Approach / Framework Overview



Framework Summary

A company can reduce cost and become more efficient across its components. The best way is to look at the journey of a product/service right from the time its raw materials are bought to the time it is delivered to the customer and he is happy after the post sale support etc. This is called a value chain analysis as each step of the process adds some value to the initial raw material and accelerates its journey towards the final product. At each of these stages, we expect to find some levers which can be tweaked to make the process more efficient.

Tips

- Clarify objective, especially the cost buckets the interviewer wants you to delve into
- Cost cases are generally very streamlined till the time you are identifying places where cost can be reduced. Creativity comes into play when recommendations are asked by the interviewer.

Key Questions

- Is this particular company facing the problem of high costs or is it something that the industry is facing as a whole?
- Chalk the value chain and then ask if it is the correct way to do it? Or should it be done by splitting fixed and variable costs?
- What are the last 3 year trends in growth for the organization?
- Any major shifts in cost over time?
- Does any of these cost seem out of line?

Market Entry

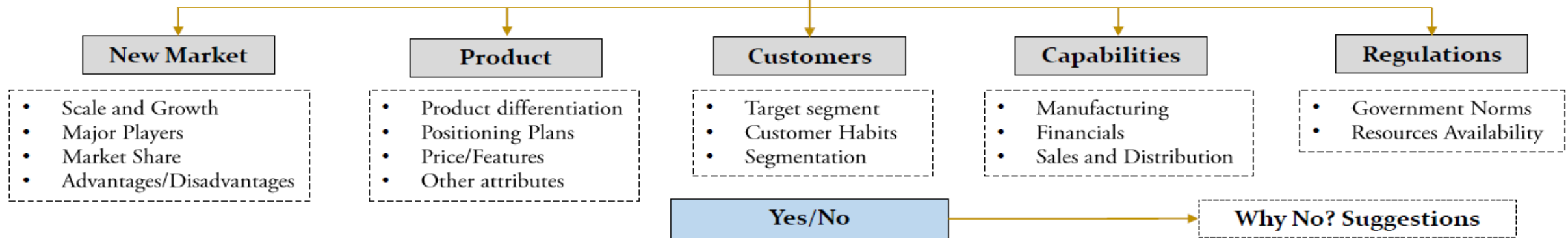
Understand the question and clarify the Objectives

A market entry case is a relatively open ended case where in you need to understand the rationale behind entering a new market; and if that rationale can be profitably achieved or not. If the decision of entry is made how should it be implemented.

Set context

Know about company? What Business? Entry where? Which Product? Why enter? Target/objective? Decided to enter?

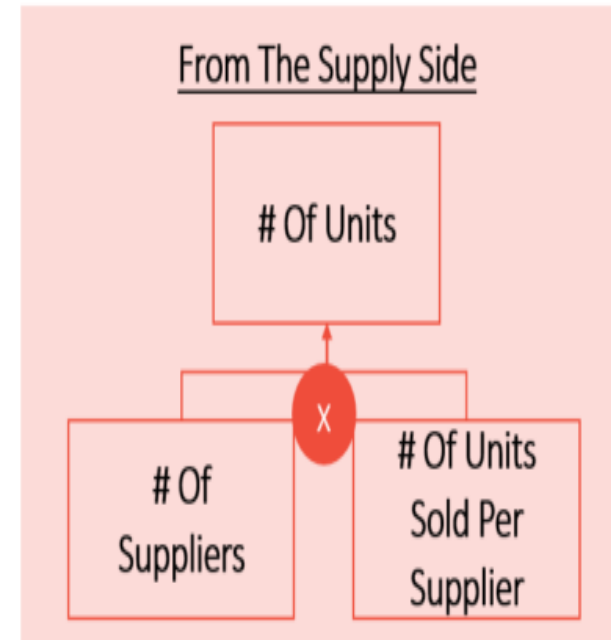
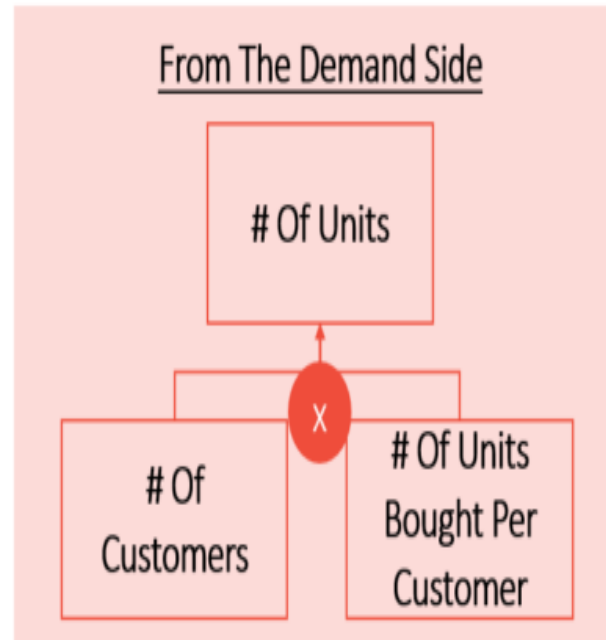
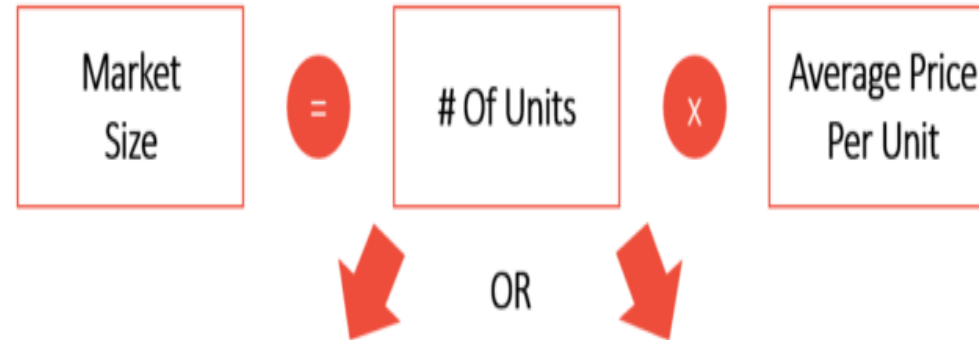
Should they Enter?



If Yes How?



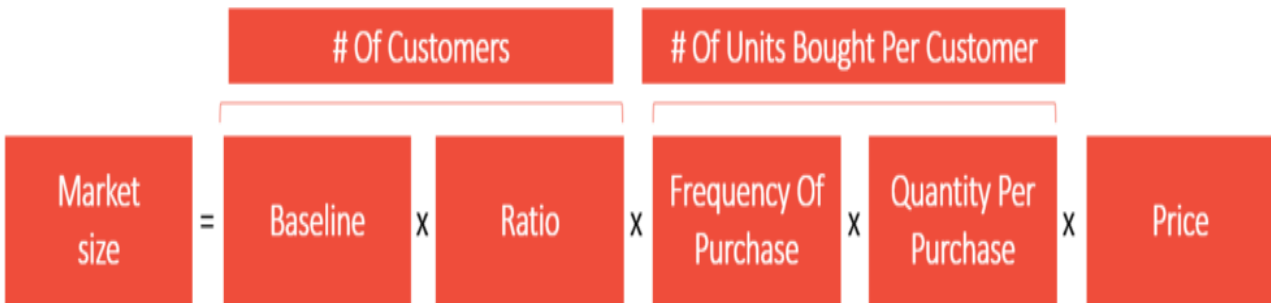
Market Sizing



Market Sizing

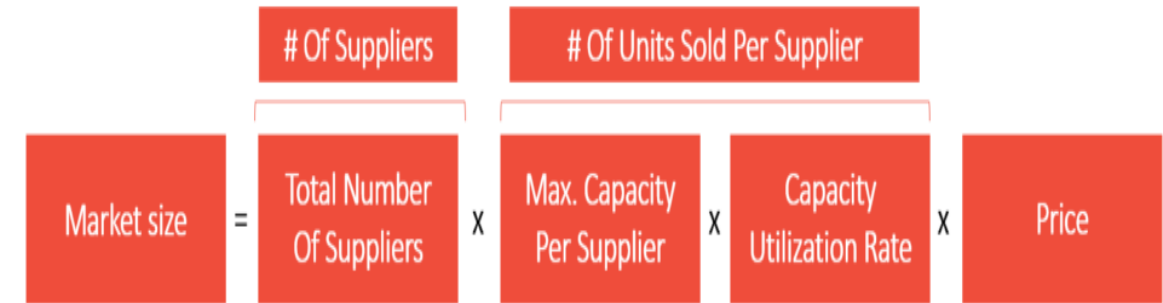


The **Filter Formula** To Solve Market Sizing Cases From The Demand Side



- The total population or number of households in the geography in scope
- The portion of the baseline that should be included in your estimate
- The average number of purchases in a given period
 - It is often driven by the lifetime and the utilization rate of the product
- The number of units bought at each purchase
- The unit price of the product
 - If the expected estimate is a volume, remove the price from the formula

The **Supply Formula** To Solve Market Sizing Cases From the Supply Side



- The total number of suppliers in the specified market
- The maximum production capacity, which means the max. units of supply that can be generated by a supplier in a given period of time
- The portion of the maximum production capacity per supplier that is actually realized
- The unit price of the product
 - If the expected estimate is a volume, remove the price from the formula

Growth Strategy

Understand the Question and Clarify the Objectives

Growth Strategy related cases are comparatively easier to analyze because avenues for growth are unlimited. You need to understand the current state of business and then come up with practically feasible growth opportunities. Each opportunity needs to be assessed for potential impact vs financial and practical feasibility.

Set context

What Business? Current Performance? Competitive Benchmarking? Growth Targets? Capabilities? Bottlenecks?

Growth Strategies

Existing Market

- Customer Satisfaction
- Marketing
- New distribution Channels
- Pricing

Geographic Expansion

- Domestic expansion
- Global expansion
- Rural expansion

Portfolio Expansion

- New Product line
- Additional services

In-Organic Growth

- Acquire competitors
- Acquire in new geographies

Business Integration

- Outsourcing
- Backward/Forward Integration

Summary

Proposed growth path, Potential growth prospects, Threats & Challenges Etc.

Pricing Strategy

Understand the Question and Clarify the Objectives

Pricing decisions should be taken to maximize the revenue potential by understanding product competitiveness in the market. Understanding competitive products, possible substitutes, price elasticity, cost structures is essential to take a good pricing decision.

Set context

Product/Service characteristics? Product use? Capital Investments? Competitors? Substitutes?

Pricing Factors

Product

- Radical vs Incremental change
- Uses/ Characteristics
- Advantages/Disadvantages

Costing

- R&D cost
- Manufacturing Cost
- Other costs

Competitors

- Competitive products
- Product differentiation
- Price benchmarking

Substitutes

- Available substitute
- Substitute use triggers
- Future substitutes

Customer

- Who is buying
- Their characteristics
- Perceived Value

Pricing Options

Competitive Pricing

- Competitors' price
- +/- Premium/Discount

Cost Based Pricing

- Cost of production + Margin

Price based Costing

- How much is customer willing to pay

Go-to-market Strategy/New Product Launch

Understand the Question and Clarify the Objectives

Provide a blueprint for launching a product in a market, positioning it to achieve competitive advantage. You would typically look at defining the 4Ps after deciding on the target segment. Touching upon all relevant aspects of the problem is much more important than the correct answer. The idea is to identify one/a few issue(s) examining the trade-offs.

Set Context

Objectives, Capabilities, Competition (How many, who all, Market Share, Growth Rate), Customers (Growth Rate, Potential Segments), Products (Existing Products, Substitutes).

Segmentation

Whom to Sell?

Use only relevant bases from the following:

- Geographic
- Demographic
- Psychographic
- Behavioural

Product Development

What to Sell?

- Features
- Packaging
- Use-cases
- Size (SKU)
- Product Name
- Differentiation
- Pricing

Distribution Strategy

Where to Sell?

- Distribution Channel
- Distribution Model
- WC Turnover
- Margins
- Sales Force T&D

Communication Strategy

What to Say?

- Positioning
- Communication Strategy
 - Advertising
 - Personal Selling
 - Sales Promotion
 - Direct Mktg
 - Public Relations

Idea

GTM strategies are supposed to be integrated in nature and thus the processes strongly follow from each other.

Be Selective

The idea is to not do everything, rather to focus on one issue and nail it. E.g. Too many sales channels can lead to channel conflict, Too much communication is expensive.

Merger & Acquisitions



Understand the Question and Clarify the Objectives

M&A cases are focused on decisions regarding a potential merger or acquisition opportunity. You need to understand the synergies involved, do cost vs benefit analysis & due diligence, and recommend whether to take the opportunity or not.

Set context

Company business? Current Performance? Target Company ? Past M&A history in similar space ? Industry Trend ?

Deal Rationale

What is the firm's objective?

- Target?
- New Markets/Channels
- Cost reduction
- Market Share/Competition
- Investment

Business Benefits

How the Target fits for Objective?

- Business Synergies?
- Market Reach (New/Existing)
- Competition/Survival
- Cost Savings/Tax Benefits
- Portfolio Expansion

Deal Price

Fair Price?

- Valuation?
- Is it fair can we afford?
- Transaction Type
- Post M&A costs

Potential Risks

Challenges/ Risk in M&A

- Synergy realization
- Integration
- Cultural Aspects
- Macro-economic risks

Due Diligence

Checks and Confirmations

- Strategic Options
- Commercial (Market related)
- Operational (Target related)
- Financial (Target's data, Valuation)
- Legal (Regulatory norms)

Implementation

- How can the merger or acquisition be effectively implemented.
- Issues related to cultural integration and operational aspects and targeted benefits

Exit Strategies

How, When why to exit?

- How long to Hold on?
- Strategic Options?
- Very important in Private Equity

Case Framework Cheat Sheet

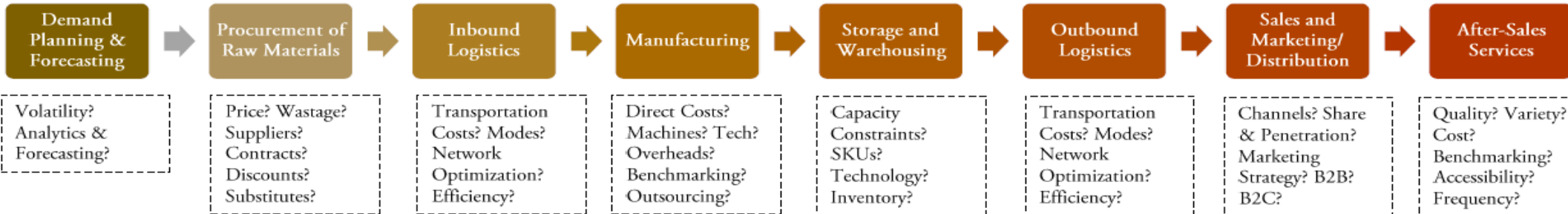
When Nothing Works

Sometimes, it may be the case that none of the standard case frameworks can be applied to the business situation at hand. There are certain other approaches you can explore to solve the case in that case.

Set context

Go through the entire Value Chain or Process Undergone (For Process Flow Cases). Drill down into each stage or step to look for inefficiencies, issues or bottlenecks.

Value Chain



Process Flow / Customer Journey

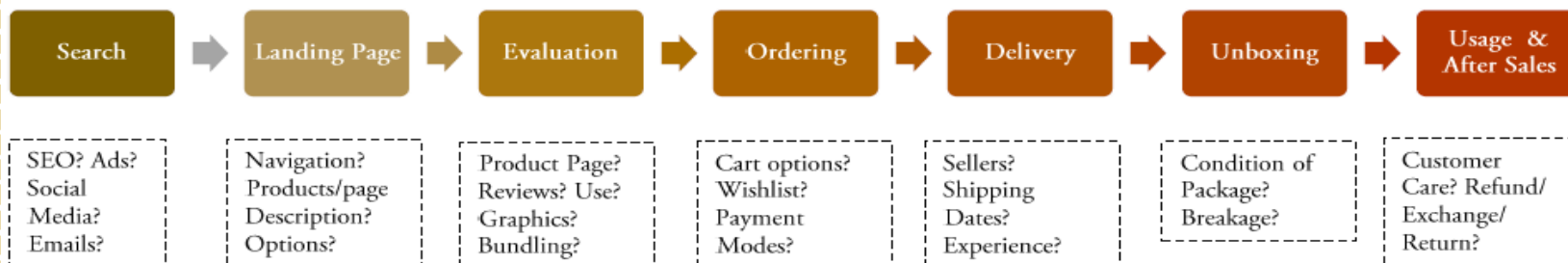
Chart out the entire process journey. Sample Use Cases –

- 1) Ecommerce Ordering Dissatisfaction
- 2) Toll Plaza inefficiencies
- 3) Getting late to office/home

Look for Bottlenecks

- A bottleneck is any area along the production line where work can get backed up for one reason or another.
- Performing a bottleneck analysis can help to identify the cause of a bottleneck, and lead to potential solutions to get a smooth, continuous, even work-flow.

Example: E-Commerce Discovery and Ordering Process Map



Example: Teeth Check-up and Cleaning Process

